A One-Off Wealth Tax to Fund a Sovereign EU Fund

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July 8, 2026

Who owns and steers Europe's productive capital, from critical infrastructure to frontier technologies, is a first-order public question. Through sovereign wealth funds (SWFs), citizens of some 40 jurisdictions hold a collective stake in large firms and long-term investments. Such funds are no longer the preserve of resource-rich states: China, Singapore, Australia and South Korea each run one worth more than 10% of their GDP, and Canada launched a national fund in 2026 financed by public debt. Worldwide, SWFs manage assets worth close to 13% of global GDP, yet the European Union has no comparable fund.

This appendix argues that the EU should build one and finance it with an exceptional, one-off tax on large individual wealth. The revenue could serve as a new own resource paid into the EU budget, or repay the common NextGenerationEU debt contracted during the Covid crisis, but we propose a more strategic use. Sized at 5% of EU GDP, the levy would build up a fund whose assets would eventually reach about twice that common debt, so that its long-run dividends would exceed the interest owed several times over. Rather than shrink the Union's balance sheet by repaying the debt, we would invest the proceeds, at a time when major investments are needed for the ecological transition and for competitiveness. The underlying levy is, in any case, fair, popular and non-distortive.

The proposal deliberately avoids the pitfalls that have historically undermined recurrent wealth taxes. It is a *one-off* levy, assessed on the net wealth each resident holds on a single reference date (1 January 2027), and paid over thirty years at low annual marginal rates: 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. Because the base is fixed in the past, the levy is a lump sum in the economic sense: no decision taken after 2027, whether to invest, to found a company or to emigrate, can change what is owed, so the tax does not distort future accumulation and activity. The low annual rates keep the tax non-confiscatory and comfortably within constitutional bounds. Liquidity is addressed head-on: payment is reduced if a taxpayer's wealth drops and the taxpayer may pay in company shares. Finally, a Deferral Account guarantees that the levy is enforced if the taxpayer emigrates or dies.

The proposal adapts the deferral and one-off mechanism designed for the Californian wealth-tax bill (California State Legislature, 2023). It adopts the low-rate one-off logic of Pisani-Ferry and Mahfouz (2023), who recommended an exceptional levy of 5% of GDP spread over thirty years to finance the climate transition.

The instrument also rests on solid economic foundations. Farhi (2010) shows that a one-off capital levy is the efficient response to a negative fiscal shock, precisely the case created by the pandemic-era debt, the security build-up and the financing of the transition. Progressive wealth taxation is independently justified on distributive grounds: Saez and Zucman (2019) argue that it is the most appropriate tool for restoring progressivity at the very top, since the ultra-wealthy report little taxable income.

The remainder covers the proposal (Section 1), revenue estimates (2), interaction with existing taxes (3), objections (4) and variants (5).

1 Proposal

1.1 A one-off tax, payable over thirty years

We propose a one-off tax on individual net wealth, assessed on the wealth each resident holds on 1 January 2027. The tax is strictly individual: wealth is attributed to natural persons, with couples assessed on their respective shares, so as to avoid the marriage penalties and avoidance opportunities associated with household-level assessment.

The headline schedule is a one-off liability levied at the following marginal rates: 3% on the fraction of individual wealth between EUR 1 and 10 million, 9% on the fraction between EUR 10 and 100 million, and 15% on wealth above EUR 100 million. This liability is not due immediately. It is spread over thirty years, so that in any given year the taxpayer owes one thirtieth of the total: the annual tax schedule is 0.1% on wealth between EUR 1 and 10 million, 0.3% between EUR 10 and 100 million, and 0.5% above EUR 100 million. These annual rates are deliberately calibrated well below the return on capital, so that the tax can in principle be paid out of the income the wealth generates, leaving the principal intact.

The one-off character is the central design choice. A permanent wealth tax changes the incentive to accumulate, to invest and to remain resident on an ongoing basis; the empirical literature finds that such taxes can generate behavioural responses, from portfolio reshuffling to migration (Brülhart et al., 2022; Durán-Cabré et al., 2019). A one-off tax assessed on a past reference date is, by construction, a lump-sum tax: it does not distort decisions taken after the reference date, because no future choice can change the liability. This is the classical efficiency argument for capital levies, and it is the reason Pisani-Ferry and Mahfouz (2023) and the Californian bill favoured an exceptional rather than a recurrent instrument.

1.2 Payment, deferral and the annual minimum

Each year, the taxpayer must pay the *smaller* of two amounts: (i) one thirtieth of their initial liability, indexed to inflation and increased by a deferral charge; or (ii) the annual schedule (0.1% / 0.3% / 0.5%) applied to their *current* wealth. The second option protects taxpayers whose wealth has fallen: someone who has become poorer since 2027 pays less, in line with their ability to pay. The tax ceases to be owed after thirty years of payment, or earlier if the taxpayer settles their remaining liability in full.

The deferral charge reflects the fact that postponing payment is equivalent for the taxpayer to paying upfront, hence it reflects the return the taxpayer earns on the deferred sum. We set it at 3% per year for the tax due below EUR 10 million, 5% between EUR 10 million and 100 million, and 7% above EUR 100 million. These figures are aligned with the empirically documented gradient of returns to wealth: larger portfolios earn systematically higher average returns (Chancel et al., 2022). Aligning the charge with the return on capital ensures that deferral is neither confiscatory nor a subsidy to the wealthy, and removes the incentive to game the timing of payments.

1.3 Payment in kind

Liquidity constraint is the objection most often raised against wealth taxes: a taxpayer may be rich on paper yet hold most of their wealth in illiquid form, such as a stake in an unlisted company, real estate or an art collection, that generates little cash, so that a tax payable in cash could force them to sell assets, sometimes at a discount.

The proposal neutralises it through a graduated set of payment options. First, the administration accepts payment in non-cash liquid assets, in particular shares in listed companies, valued at market price on the day of transfer. A taxpayer whose wealth consists mainly of a quoted equity stake can therefore discharge the tax without selling on the market and without any cash outlay. Second, on a case-by-case basis, the administration may accept payment in illiquid assets, such as shares in non-listed companies, to the extent that the taxpayer's liability exceeds their liquid assets. This mirrors the logic of the Californian bill, which allowed liquidity-constrained taxpayers holding designated highly illiquid assets (typically start-up equity) to attach a claim to those assets rather than face an immediate cash assessment (California State Legislature, 2023).

Payment in shares has an important corollary for the objection that a wealth tax penalises young, capital-intensive firms relative to established ones. Because the founder of a start-up can hand over a fraction of their shares rather than cash, the tax does not force the sale of the company and it does not require the firm to distribute dividends it cannot afford. In case where the tax could make the taxpayer lose control over their company (by reducing their stake below 50%), the administration may accept payment in non-voting shares.

1.4 Deferral Accounts

Unless they settle their entire liability in the first year, taxpayers must open a Deferral Account (DA): a contract with the State to which they attach assets of sufficient value to cover the tax liability. The DA has two functions. It secures the State's claim: the outstanding liability is recovered when the taxpayer dies or moves their tax residence outside the EU, whichever comes first, and the account is closed only once the tax has been paid in full. It supports the payment-in-kind mechanism, since attached assets can be realised to discharge the debt.

A missing payment triggers a penalty equal to inflation plus 10% per year on the overdue amount. This penalty accrues within the DA and is ultimately recovered when the attached assets are sold or generate dividends, so that non-payment is costly but never forces an immediate ownership transfer. The combination of low annual rates, deferral, payment in kind and asset-backed recovery is what makes the tax simultaneously enforceable, non-distortive and respectful of taxpayers' liquidity constraints and asset control.

1.5 Governance and mandate of the fund

The proceeds endow a European sovereign wealth fund under democratic control. Its board would be appointed by the political groups of the European Parliament, each group naming board members and exercising a voting right proportional to its number of seats in the Parliament, so that the fund's direction reflects the Union's democratic balance rather than the discretion of a single executive.

The fund's mandate would be threefold: to hold a broadly diversified portfolio of equities, so as to spread risk and secure a stable return; to steer the ecological transition; and to select strategic investments that strengthen Europe's future-preparedness. On the model of the recent Canadian national fund, the mandate would give priority to *primary* investments (initial public offerings, capital increases and other subscriptions of newly issued equity) in European companies with a strategic dimension or a sustainable project, so that the fund channels fresh capital into productive investment rather than mostly reallocating ownership of existing shares.

2 Revenue estimates

2.1 Method and assumptions

Revenue is estimated by microsimulation on the 2023 wealth distributions of the World Inequality Database (WID).[1] Two successive haircuts are applied to the base throughout: 15% for asset-price depreciation and a further 15% for evasion and valuation discounts.

Table 1's revenue figures are those of the proposed tax's three marginal bands. Column a is the 0.1% levied on the slice of wealth between EUR 1 and 10 million; column b the 0.3% on the slice between EUR 10 and 100 million; and column c the 0.5% on all wealth above EUR 100 million. The central scenario is the sum of these three bands, $a + b + c$ (also shown as a share of 2023 GDP). Column d reports a separate band that does not belong to the central schedule: a 2% rate on wealth above EUR 1 billion, used only to illustrate a top-heavy variant that would use 2% as the marginal rate on billionaire wealth, so that the top-heavy figure is $c + \frac{3}{4}d$. All figures are in EUR million per year.

2.2 Results

The central scenario, which combines the three low brackets, raises about EUR 26 billion per year for the EU, or close to EUR 790 billion over the thirty-year horizon. This is in the range of the 5%-of-GDP benchmark independently proposed by Pisani-Ferry and Mahfouz (2023), and about twice the EU's common (NextGenerationEU) debt. The revenue broadly tracks the distribution of large fortunes across the Union: Germany, France, Italy and Spain together account for 75% of total revenue. This geographic profile is a feature rather than a drawback. The proceeds are not consumed but channelled into a European fund that reinvests in productive companies; a fund managed on a competitiveness logic would in any case direct much of its capital towards the Member States that host Europe's largest firms, so that the country pattern of contributions and the country pattern of investment would broadly coincide.

These estimates are deliberately conservative for two reasons. They cut the base by two successive 15% haircuts, both generous. The 15% allowance for evasion and valuation discounts sits well above the leakage a well-enforced one-off levy should suffer: Seim (2017) finds that the taxable base contracts by at most 1% in the short run, and Advani and Tarrant (2021) put the medium-run figure at less than 10% for a 0.5% wealth tax. The 15% allowance for depreciation is also cautious, and compounded by our use of 2023 wealth data. Indeed, the tax would be assessed on wealth

[1] For most Member States, we use the tabulation that underlies the WID Wealth Tax Simulator, which reports, for a grid of euro thresholds, the total net wealth and the number of adults above each threshold. This dataset is the more adequate source, for two reasons: its grid already includes the statutory cut-offs (EUR 1, 10, 100 million and 1 billion), so each bracket's base can be read off directly; and it smooths the top tail, so it resolves the extreme fortunes on which the upper brackets depend. The eleven smaller Member States that the simulator omits are completed from the raw WID distributional-national-accounts data, which report the average wealth within each of 127 population brackets, up to the top 0.001%. Applying the schedule to those bracket averages reproduces the lower brackets well but resolves the very top less finely. Because these states are small (their combined contribution is about EUR 0.6 billion), this has no material effect on the EU total.

held on 1 January 2027: since asset prices have risen since 2023, the true 2027 base, and hence the revenue, would be larger.

Table 1: Estimated revenue of a one-off wealth tax in the first year, by EU Member State (EUR million per year) The GDP column reports annual central revenue as a share of GDP.

Country	a 0.1% on 1–10M	b 0.3% on 10–100M	c 0.5% >100M	d 2% >1 bn	Central $(a+b+c)$	Central % GDP	Top $(c+\frac{3}{4}d)$
Germany	3,050	2,702	2,592	4,963	8,344	0.20%	6,315
France	1,994	1,378	3,298	8,812	6,670	0.24%	9,907
Italy	1,177	448	994	1,327	2,618	0.13%	1,989
Spain	851	434	866	1,409	2,151	0.14%	1,923
Austria	296	287	337	841	920	0.19%	967
Netherlands	585	109	220	182	913	0.09%	356
Belgium	500	37	186	527	722	0.12%	581
Sweden	260	140	312	829	712	0.14%	934
Poland	169	196	196	170	560	0.08%	323
Denmark	199	145	188	441	533	0.14%	519
Czechia	74	44	230	489	348	0.11%	597
Ireland	247	14	70	69	331	0.06%	122
Portugal	187	109	35	48	330	0.12%	70
Luxembourg	56	37	115	305	208	0.25%	343
Hungary	53	62	93	8	208	0.10%	99
Finland	58	12	82	84	152	0.05%	145
Romania	39	37	46	20	121	0.03%	61
Greece	64	17	36	0	118	0.05%	36
Slovenia	18	18	38	0	75	0.11%	38
Cyprus	11	2	33	0	46	0.14%	33
Bulgaria	13	14	13	0	40	0.04%	13
Croatia	18	12	6	0	36	0.05%	6
Lithuania	14	10	7	0	31	0.04%	7
Estonia	14	9	6	0	29	0.08%	6
Latvia	9	8	3	0	20	0.05%	3
Slovakia	12	7	0	0	19	0.02%	0
Malta	9	0	0	0	9	0.04%	0
EU-27 total	**9,978**	**6,287**	**10,000**	**20,525**	**26,264**	**0.15%**	**25,394**

3 Interaction with existing taxes

The proposed levy would be *additional* to, not a substitute for, the taxes Member States already apply to wealth. Within the EU only Spain still operates a comprehensive recurrent net-wealth tax, and the few other national instruments are narrow. Crucially, all of them share a feature that the present proposal deliberately avoids: they largely spare the business assets that make up the bulk of very large fortunes, so the overlap with our levy is small.

Spain is the leading case. Its recurrent wealth tax is regionally administered, and several regions (notably Madrid and Andalusia) had granted 100% relief until the central government introduced, in 2022, a Solidarity Tax on Large Fortunes (ITSGF) to reclaim that base, with marginal rates of 1.7% above EUR 3 million up to 3.5% above 11 million. Yet the Spanish tax exempts business assets: shares held by owner-managers who hold a qualifying stake, play a managerial role and draw most of their income from the firm are relieved, and the primary residence is partly exempt. On top of this, a cap limits the combined income-and-wealth-tax bill to 60% of taxable income; but the resulting relief may not exceed 80% of the wealth-tax liability, so that at least 20% of it is always due (Article 31 of Law 19/1991). In practice this floor caps the effective wealth-tax rate of the asset-rich but income-poor at one fifth of the statutory rate, about 0.7% rather than the headline 3.5%. Together these carve-outs and caps let the very wealthiest largely escape the tax, and avoidance responses to it are well documented (Directorate-General for Taxation and Customs Union (European Commission), 2026).

France abolished its general wealth tax (ISF) in 2018 and replaced it with a narrow tax on real-estate wealth (IFI), at 0.5%–1.5% on net property above EUR 1.3 million, leaving financial and business wealth untaxed.

The Netherlands has no more net-wealth tax: its "Box 3" regime taxed a notional return on savings and investments within the income tax, an approach the Supreme Court struck down in 2021 and again in 2024 (Section 4). From 2028 it is to be replaced by the Box 3 Actual Return Act, which taxes the *real* return on wealth: an annual mark-to-market (accrual) tax on the change in value of most assets and debts, combined with a realisation-based capital-gains tax on real estate and on shares in start-ups. This remains a tax on the return to wealth, not on the wealth stock itself, and so leaves the base our levy targets untouched.

Belgium levies a 0.15% annual tax on securities accounts worth at least EUR 1 million, a narrow charge that reaches listed portfolios but not directly held business stakes.

The proposed levy is therefore complementary rather than duplicative. Because it is one-off, values assets at market and grants *no* business-asset exemption, it falls, for very-high-net-worth individuals, precisely on the unlisted-company and financial holdings that the national taxes spare, while adding only 0.1% per year at the bottom of the schedule (above EUR 1 million). Where a taxpayer is simultaneously liable to a national recurrent wealth tax (the Spanish solidarity tax or the French IFI), the proposal treats them as cumulative, since even in the most heavily taxed cases the combined annual burden stays below the return on capital and therefore within the bounds courts have treated as non-confiscatory (Section 4).

4 Responses to main objections

4.1 Expatriation

The objection most often raised against wealth taxes is that the wealthy will simply leave. This concern is real for a recurrent tax, but it has little force against a one-off levy assessed on residence at a fixed past date. Because the liability is fixed by where a taxpayer lived on 1 January 2027, no later move can change what is owed. Emigration therefore cannot erase the tax, only the ease of collecting it, and that is what the Deferral Account is designed to secure. The outstanding balance is attached to assets and crystallises when the taxpayer dies or transfers their tax residence outside the EU, so that leaving triggers, rather than avoids, payment. This is the same logic as an exit tax, applied to a liability that was already fixed before any departure.

4.2 Liquidity

Another common objection is that wealthy taxpayers, though rich on paper, may lack the cash to pay. The design answers this on two levels: the annual rate is low (at most 0.5% of wealth, payable out of normal capital income rather than principal), and payment can be made in listed shares or, in genuinely illiquid cases, in kind, so that no market sale or cash outlay is required.

4.3 Reduced investment and production

A wealth tax could in principle reduce private investment by lowering the after-tax return to capital and by consuming tax revenue through public spending, eventually lowering GDP. This concern does not apply here for two reasons. First, the tax is one-off and backward-looking, so it does not alter the marginal return on any investment decided after 2027. Second, and decisively, the revenue is earmarked to a European sovereign wealth fund: assets withdrawn from private portfolios are re-invested, not consumed, so the aggregate capital stock is preserved and the composition merely shifts from private to collective ownership. The fund's returns are designed to more than cover the servicing of the common debt, turning a one-off levy into a permanent public asset.

4.4 Deterring entrepreneurs

The claim that wealth taxes deter entrepreneurship applies to *recurrent* taxes that repeatedly claw back the fruits of success. It does not apply to a one-off tax on a past stock. An entrepreneur contemplating a new venture in 2028 faces no wealth-tax consequence from success, because the reference date has passed. The incentive to create, take risks and build is therefore left intact, which is precisely why Pisani-Ferry and Mahfouz (2023) and the classical public-finance literature on capital levies favour exceptional over permanent instruments.

4.5 Valuation

A recurring objection is that wealth is hard to value, especially unlisted businesses, real estate and art. The one-off design blunts this objection at the root: because the tax is assessed on a single reference date, assets need to be valued only once, exactly as they already are at death for inheritance tax, rather than re-valued every year. The recurring administrative cost that weighs on permanent wealth taxes therefore does not arise.

The experience of countries that value wealth annually shows the task is feasible but must be done at market value. Norway, which has levied a net-wealth tax without interruption since 1892, values listed shares at market, primary dwellings by hedonic pricing and other real estate by construction cost, and unlisted firms at their book value excluding intangible assets (Directorate-General for Taxation and Customs Union (European Commission), 2026). That last convention systematically under-values young, intangible-intensive companies, the very firms whose value lies in their brand, technology or growth prospects, so Norway's base is, if anything, too generous to business owners (Grindaker and Vestad, 2025). We therefore assess all assets at fair market value.

4.6 The low yield of past wealth taxes

Sceptics point out that recurrent wealth taxes have historically raised little, around 0.2% of GDP in France (ISF) and Spain, and roughly 0.1% in the former German and Austrian taxes (Directorate-

General for Taxation and Customs Union (European Commission), 2026). This is a critique of how those taxes were designed, not of wealth taxation as such. Their yield was hollowed out by three features that the present proposal rejects. First, generous exemptions for business assets. Second, income-based caps: for instance, France's cap let the billionaires be taxed at an effective rate of less than 0.1% (Directorate-General for Taxation and Customs Union (European Commission), 2026). Third, annual assessment on a mobile base, which invited migration and avoidance year after year. Our levy grants no business-asset exemption, has no income cap (it is instead capped by an ability-to-pay ceiling on *current wealth*), and is assessed once on a past stock that cannot emigrate. It is precisely because it corrects these three defects that it raises as much revenue as old taxes did despite significantly lower tax rates.

4.7 Constitutionality

Wealth taxation is not unconstitutional as such in any EU jurisdiction. The concern that can make a wealth tax fall foul of a constitution is that it becomes confiscatory, taking so large a share of asset returns that it amounts to an expropriation rather than a tax. Low rates dispose of that concern: an annual charge of at most 0.5% of wealth, only a fraction of the normal return on capital, leaves the principal intact and stays far from any confiscation threshold. The history of national wealth taxes, reviewed below, confirms that they were struck down or abandoned for specific, avoidable defects, unequal valuation, taxation of a fictitious return, or genuinely confiscatory rates, and never because taxing wealth is inherently impermissible.

Germany. The Federal Constitutional Court suspended the wealth tax in its 1995 decision (2 BvL 37/91) not because wealth taxation is inherently unconstitutional, but because real estate was valued far below market while financial assets were valued at market, violating the equality principle of the Basic Law (Bundesverfassungsgericht, 1995). The same decision advanced the *Halbteilungsgrundsatz*: that wealth and income tax combined should not take away more than roughly half of the potential return of the taxed assets. Two points defuse this. First, the Court itself, in a later ruling, held the *Halbteilungsgrundsatz* not to be legally binding (Directorate-General for Taxation and Customs Union (European Commission), 2026). Second, the proposed tax would satisfy it in any case: an annual charge of at most 0.5% of wealth is only a small fraction, of the order of a tenth, of the normal return on capital, so that even added to income tax the combined burden stays far below half of that return. A uniformly market-valued, low-rate one-off tax thus avoids both defects that felled the German tax.

Spain. The Constitutional Court *upheld* the central solidarity wealth tax in December 2023 against challenges from several regions, confirming that a wealth tax is compatible with the Spanish constitution (Tribunal Constitucional de España, 2023).

The Netherlands. The Netherlands abolished its genuine net-wealth tax in 2001 for practical, not legal, reasons: the old tax was widely avoided or evaded and raised little. The wealth tax was folded into the income tax as "Box 3", which taxes a *notional* (assumed) return rather than actual wealth or actual income, a design chosen for administrative simplicity, not because taxing wealth was thought unconstitutional. It is precisely the taxation of a *fictitious* return that the Supreme Court struck down, in the 2021 "Christmas Judgment" and again in 2024, as an infringement of the right to property and the prohibition of discrimination under the European Convention on Human

Rights (Hoge Raad der Nederlanden, 2021). The Netherlands is now moving to a tax on *actual* returns from 2028. A charge levied on *actual* wealth, with an ability-to-pay safeguard, does not share this flaw; if anything the Dutch saga shows that taxing real wealth is on firmer legal ground than taxing an imputed one.

France. The Conseil constitutionnel has repeatedly upheld wealth taxation (the ISF and later the IFI), on the condition that the burden not become confiscatory, which for a holding tax may require an income-based cap only when the rate is high (Conseil des prélèvements obligatoires, 2018; Conseil constitutionnel, 2012). The threshold is telling: in the ISF case-law a rate of 0.5% was validated without any cap, whereas a rate of 1.8% required one (Conseil des prélèvements obligatoires, 2018). The maximum annual rate proposed here is 0.5%, the very level the Conseil accepted with no cap, so the French standard is comfortably met. It is worth noting that the Conseil constitutionnel also judged that ability to pay may be assessed on wealth ownership rather than income flows (Decision n° 2019-769 QPC), confirming the legitimacy of a wealth tax.

Austria. Austria discontinued its wealth tax in 1993 by an act of government, not of any court, and for reasons of design rather than principle: fear of capital flight, widespread evasion, high administrative cost, and low and declining revenue, compounded by the unequal treatment of grossly under-valued real estate (the same defect that later led the Constitutional Court to strike down the Austrian inheritance tax) (Directorate-General for Taxation and Customs Union (European Commission), 2026).

However, one genuine legal obstacle is specific to Austria: Article 1(1)(2) of the constitutionally entrenched Final Taxation Act (*Endbesteuerungsgesetz*) bars any wealth tax on bank deposits and domestically issued bonds. Overcoming it would require either amending that constitutional law by a two-thirds majority, or granting Member States the option to exempt those asset classes, which in any case make up only a small share of large fortunes.

European law. Two European-level points complete the picture. First, Article 1 of Protocol No. 1 to the European Convention on Human Rights protects the peaceful enjoyment of possessions but explicitly permits States to levy taxes, subject to a "fair balance" between the general interest and the individual burden; the Court finds a violation only where the charge is disproportionate or confiscatory, and a one-off levy of at most 0.5% of wealth per year with an ability-to-pay ceiling sits well within that margin. Second, Article 345 of the Treaty on the Functioning of the European Union provides that "the Treaties shall in no way prejudice the rules in Member States governing the system of property ownership": EU law is neutral as between private and public ownership, so using the proceeds to build up collective, public ownership of productive capital raises no objection under the Treaties.

The recurring constitutional theme across jurisdictions is that wealth taxes fail when they value assets unequally, tax fictitious returns, or become confiscatory, never simply because they tax wealth. The present design is built to avoid all three failure modes.

5 Possible variants

Several variants are compatible with the architecture above but are left for future work and not developed here: (i) converting the one-off levy into a *permanent* recurrent wealth tax; (ii) applying *higher rates* above EUR 100 million wealth, closer to the 2%–3% minimum-tax proposals of Zucman (2024); (iii) pairing the wealth tax with a reform of *inheritance* and *capital gains taxation*, which reaches the same tax base at the point of transmission; and (iv) allocating the revenue to EU own resources rather than to a sovereign wealth fund. Each of these would change the efficiency, legal and political properties of the instrument and deserves separate analysis.

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